RAVE FINANCE LABS

ANSWER KEY & EXPLANATIONS — PRIVATE COPY

The Money Money Quiz — 20 Questions

Q1

Your cousin needs ₹2 lakh to open a shop. He offers you a deal that he will repay ₹2.4 lakh over 2 years, no matter how the shop does — good year or bad. In financial terms, what you'd be buying is closest to a:

- **A.** Mutual Fund
- **B.** Stock
- **C. Bond ✓**
- **D.** Insurance policy

Why:

The cousin promises a fixed repayment regardless of how the shop performs — that's the defining feature of a bond (or a loan): a fixed return, not tied to profit or loss. A stock, by contrast, would mean sharing in the shop's actual profit or loss with no fixed promise attached.

Q2

Priya bought a gold necklace for ₹6 lakh from her jeweller last month, thinking of it as a great investment. Two weeks later, she had an unforeseen medical emergency and went back to sell the same necklace to the same jeweller — who offered her only ₹4.5 lakh. Why did the value fall so much, so fast?

- **A.** Selling during an emergency always gets you a lower "distress" price, whatever the item.
- **B.** Gold's market price might have genuinely fallen by around 25% in those two weeks
- **C.** The jeweller cheated her, during the sale or the buyback
- **D. Making charges and design premiums are baked into the purchase price the moment you buy and they're generally not recovered on resale ✓**

Why:

Making charges and design premiums are added to the price the moment you buy — often a real chunk of the total cost — and jewellers typically don't pay them back to you at resale, since buyback price is usually based on gold weight alone. This is why gold jewellery is a poor short-term "investment" even though gold itself holds value: the making charges are a real, permanent cost that doesn't come back.

Q3

When you "buy a share on the stock market," who are you actually buying it from?

- **A. From another investor selling it ✓**
- **B.** Directly from the company
- **C.** From the government
- **D.** From your bank

Why:

When you buy a listed share, you're not buying it from the company itself (that only happens during an IPO) — you're buying it from another investor who already owns it and wants to sell. The stock exchange is simply the platform that matches those buyers and sellers together.

Q4

Your neighbour tells you: "I never buy mutual funds!! Why pay a fund manager to pick stocks when I can just pick 2-3 good stocks myself and save the fee?" What's the one advantage that the neighbour loses but a mutual fund investor gets automatically?

- **A. Spreading risk across many companies ✓**
- **B.** Guaranteed higher returns
- **C.** Instant access to cash and more control over where the money is invested
- **D.** Full protection from losses

Why:

By picking just 2-3 stocks himself, the neighbour is concentrating all his risk into a handful of companies. A mutual fund automatically spreads money across many companies at once, so if one or two do poorly, the rest can cushion the impact — that spreading of risk is the one thing he loses by going solo.

Q5

Kavita is getting married in a year and she needs her money exactly at that time. She's considering parking her money in a mutual fund whose average annual return has been 15% over the last 10 years. Is this a good investment for her right now?

A. Yes — a 15% average annual return is a strong track record for 10 years
B. Yes — past average performance guarantees a similar return this year too
C. No — equity mutual funds cannot be redeemed within 3 years
D. No — a 10-year average return does not tell you what you'll earn over the next one year ✓

Why:

A 10-year average smooths many good and bad years into a single number — it says nothing about what the very next year will do. Markets can and do have sharp one-year downturns even with a strong long-term average, so parking money she needs in exactly one year into an equity fund carries real risk her timeline can't absorb.

Q6

Lakshmi chit-fund organizer offers you three payout options on paying an initial entry amount of ₹8,000. Scheme A pays ₹2,500 / ₹3,000 / ₹3,500 over next three years. Scheme B pays ₹3,500 / ₹3,000 / ₹2,500 over next three years. Scheme C pays a flat ₹3,000 every year. Which is actually the best deal?

A. Scheme A – It builds cash payouts with time
B. Scheme B – It provides higher payout early, allowing you to use your money sooner ✓
C. Scheme C – It is better to have a fixed and a known payout every year
D. All three are equally good, since the total is the same

Why:

Money received earlier is worth more than the same money received later, because it can be used, saved, or reinvested sooner. All three schemes total the same ₹9,000, but Scheme B pays more of that money in Year 1, making it the most valuable option today — this is the core idea behind the time value of money.

Q7

Neha has a ₹50,000 credit card bill and sees three options: Pay in Full (₹50,000), Pay Minimum Amount Due (₹2,500), or Pay a Custom Amount. She decides to pay just the Minimum Amount Due, thinking of the rest as "free money" till the next cycle. Is she right?

A. Yes — as long as she pays the minimum on time, the rest is essentially free credit
B. No — the ₹47,500 will start accumulating heavy interest immediately ✓
C. Yes — credit card companies only charge interest after 90 days, it is free till then
D. No — her credit card will get blocked if she doesn't pay in full every month

Why:

Paying only the minimum leaves ₹47,500 outstanding, and credit cards charge interest on that unpaid balance immediately — often 3% or more per month. That interest starts compounding right away, which is why a balance carried this way barely shrinks even after several payments.

Q8

Company A is a large, steady electricity provider with very little growth prospects, and hence pays out most of its profit as dividends every year. Company B is a fast-growing startup that reinvests every rupee of profit and pays no dividend at all. Which one is a better financial strategy?

A. Company A — dividends prove it's healthy and making profits.
B. Company B — reinvesting is always the smarter long-term choice
C. Both may be financially smart choices depending on whether the company has a better use for its profits or not ✓
D. Neither is a good choice – every company must do a little bit of both always.

Why:

There's no universal rule that paying dividends or reinvesting profit is always the better choice — it depends on whether a company actually has good opportunities to grow with that money. A mature company with little room left to expand often serves shareholders best by paying out profit; a fast-growing company usually creates more value by reinvesting instead. Judging either strategy without asking this question first misses the point.

Q9

Suresh is 25 years old and is living a healthy lifestyle. He decides not to buy health insurance since he never falls sick and instead chooses to invest that premium amount instead. Is this a smart choice?

A. Yes — he's healthy now, so insurance would just be wasted money
B. Yes — buying so early at age 25 just means paying premiums for far longer than necessary
C. No — because investing anything before buying all the possible insurances is a bad decision
D. No — one bad medical emergency could wipe out years of his savings in a single stroke ✓

Why:

Being healthy today says nothing about tomorrow — a single serious illness or accident can cost lakhs of rupees, often far more than years of saved premiums. Health insurance exists precisely to protect against this kind of low-probability, high-impact event that ordinary saving can't reliably cover on its own.

Q10

Your friend says he has a net worth of ₹50 lakh and is well-diversified. He lists: stocks worth ₹6 lakh, bonds worth ₹4 lakh, mutual funds worth ₹5 lakh, and a godown worth ₹30 lakh. He also owns a car worth ₹5 lakh, on which he paid ₹1 lakh as down payment with the rest on loan. What is his actual net worth?

- **A.** ₹50 lakh – Exactly what he is calculating
- **B. ₹46 lakh – Liabilities are to be subtracted from the assets ✓**
- **C.** ₹42 lakh – Loan amount of 4 lakh must be reduced from 46 lakhs
- **D.** ₹20 lakh – Godown is not an asset and must not be calculated

Why:

Liabilities — what you owe — must be subtracted from assets — what you own — to get your real net worth. Your friend's ₹5 lakh car is only partly his: ₹4 lakh of it is still owed to the bank as a loan, so that amount needs to come off his total, bringing his real net worth to ₹46 lakh, not ₹50 lakh.

Q11

Your phone is broken and you need a new one to use it for work calls. You're choosing between an ₹80,000 iPhone or a simple ₹15,000 phone that has all the functions you need. Under the 50:30:20 rule, which bucket (Needs / Wants / Investments) would you use the money from if you decide to buy the iPhone?

- **A.** ₹80,000 from Needs — a phone is essential for work
- **B.** ₹80,000 from investments – since it is a big purchase
- **C. ₹15,000 from Needs and ₹65,000 from Wants — the extra cost is preference, not necessity ✓**
- **D.** I should never buy an iPhone at all

Why:

Under the 50:30:20 rule, "Needs" only covers what's genuinely necessary — here, a working ₹15,000 phone that does the job. The extra ₹65,000 for the iPhone specifically is a preference, not a necessity, so it belongs in the "Wants" bucket, not "Needs."

Q12

Anita invests ₹10,000 in Fund X, where the NAV is ₹20 per unit, so she gets 500 units. Her friend Bina invests the same ₹10,000 in Fund Y, where the NAV is ₹500 per unit, so she gets only 20 units. If both funds grow by 10% this year, who ends up with more money?

- **A.** Anita — she has far more units and will therefore grow faster
- **B.** Bina — a higher NAV fund is a stronger fund
- **C. Both end up with exactly the same amount ✓**
- **D.** Cannot be determined without knowing each fund's expense ratio

Why:

NAV is simply the price of one unit on that particular day — it has no bearing on future growth. Anita's 500 units at ₹20, growing 10%, become ₹11,000; Bina's 20 units at ₹500, growing 10%, also become ₹11,000. The same percentage growth on the same amount invested always gives the same result, regardless of how many units that money happened to buy.

Q13

Rohan invests ₹3,00,000 in a mutual fund and expects it to grow at 15% a year. Roughly how long until his money grows to ₹9,00,000?

- **A.** 6 years
- **B. 8 years ✓**
- **C.** 10 years
- **D.** 15 years

Why:

Using 120 ÷ rate as a quick way to estimate how long money takes to triple: 120 ÷ 15 = 8 years. (A more mathematically precise version of this rule uses 114 or 115, but 120 divides cleanly by far more common rates, which is why it's easier to work out in your head.)

Q14

You've heard "Mutual fund investments are subject to market risks. Please read the offer document carefully before investing" in practically every ad you've ever seen. What does this actually mean in practice?

- **A.** Mutual funds are riskier than the stock market itself and that is called Market Risk
- **B. Your investment's value may increase or decrease with the market, hence returns aren't fixed or guaranteed ✓**
- **C.** You may lose money if you only invest in one fund, so put your money at other places in the Market too
- **D.** It's a legal formality with no real practical meaning

Why:

This standard disclaimer means your investment isn't guaranteed — its value can rise or fall along with the broader market, and there's no promise of a fixed or assured return, unlike a bank FD.

Q15

Asha invests ₹5,000/month for 10 years, from age 25 to 35, and then stops investing but leaves the money untouched until 60. Nisha invests ₹5,000/month for 25 years, from age 35 to 60 — two and a half times as long. If both investments earn 10% a year, who has more money at 60?

- **A. Asha — started earlier and allowed more time for money to grow ✓**
- **B.** Nisha — invested for far longer, and far more total money was put in
- **C.** Both end up with roughly the same amount
- **D.** Impossible to know without knowing the fund in which the money was invested

Why:

Asha's money had 35 years to grow (age 25 to 60), while Nisha's had only 25 years (age 35 to 60) — a full extra decade of compounding for Asha, even though she invested for a shorter period and put in less money overall. That extra decade matters more than the additional money Nisha contributed, which is exactly why starting early is worth more than investing more later. (Roughly: Asha ends up with about ₹1.04 crore; Nisha ends up with about ₹59 lakh, despite contributing more than double the total amount.)

Q16

Rajesh wants to sell his old fridge online. The buyer says he's sending payment via UPI, and Rajesh gets a notification asking him to enter his UPI PIN to receive the money. He enters it — and ₹15,000 is deducted from his own account instead. What actually happened?

- **A.** The buyer somehow knew his UPI PIN in advance
- **B.** His bank's app might have had a technical glitch
- **C.** The buyer must have hacked his phone remotely
- **D. Entering the PIN approved a "collect request" which allows a payment FROM his account, not TO the account. So, he mistakenly thought he was receiving money ✓**

Why:

A "collect request" is a request FOR money, not a transfer of money to you. Approving one with your UPI PIN authorizes a payment OUT of your account to whoever sent the request — it never brings money in. Scammers exploit this by disguising a collect request to look exactly like an incoming-payment notification.

Q17

Vikram bought a flat 10 years ago for ₹50 lakh; it's worth ₹1 crore today. He calls it a fantastic investment since his money doubled. What was his approximate annual rate of return on this investment, and was it actually that fantastic?

- **A.** About 20% a year — a very strong return
- **B.** About 10% a year — a good return
- **C. About 7.2% a year — fairly ordinary, similar to or below what an FD might offer ✓**
- **D.** Cannot be estimated without knowing the exact purchase date

Why:

Money doubling in 10 years works out to roughly 7.2% annual growth (Rule of 72: 72 ÷ 10 = 7.2%). That's a fairly ordinary return — similar to, or even below, what a fixed deposit might offer over the same period — so "my money doubled" sounds far more impressive than the actual annual rate really is.

Q18

A close friend asks you to be a guarantor in his home loan so he qualifies for a larger amount. He tells you that it is "just a formality" since he'll definitely pay on time. However, if he defaults, what's your actual exposure?

- **A. You become legally responsible for repaying it yourself, and your own CIBIL score and assets are at risk ✓**
- **B.** None — guarantors are a formality with no real financial responsibility
- **C.** You might be responsible for the principal repayment, but not the interest
- **D.** Your liability depends upon how many others have signed as guarantors to the same loan

Why:

A guarantor isn't just a formality — if the borrower defaults, the lender can legally pursue the guarantor for the outstanding amount. That means your own credit score and your own assets are genuinely at risk, for a loan you never personally benefited from.

Q19

CIBIL is a credit information company. What does a CIBIL score of 840 (out of a maximum of 900), actually tell a lender?

A. That you have an excellent score because you currently have zero outstanding debt
B. That you earn enough and you will qualify for any loan amount
C. That you own enough assets to cover any loan
D. That you have a strong history of borrowing and repaying responsibly, which makes you a more attractive borrower ✓

Why:

A high CIBIL score reflects a track record of borrowing responsibly and repaying on time — not zero debt, and not income or assets. Having no credit history at all can sometimes score similarly poorly to a bad one, since there's no track record to judge either way.

Q20

Rohit's father always taught him that "cash is king" and a credit card is a trap that ruins people's lives. So Rohit insists on paying for everything only in cash. Is he right to avoid credit cards altogether?

A. Yes — his father is right, credit cards are designed to be dangerous and scam gullible people
B. Yes — because credit card spendings are difficult to track
C. No — but only because carrying large amounts of cash is risky
D. No — used responsibly and paid in full each month, a card builds credit history, a better credit score and offers real benefits, by paying no interest on the borrowed amount ✓

Why:

Used responsibly — spending within your means and paying the full bill every month — a credit card costs nothing extra in interest, while building a credit history that makes future loans easier to get and cheaper. The real danger isn't the card itself; it's carrying an unpaid balance, which is a behaviour, not something built into the card.